

# LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya  
Telephone: Nairobi 532520

## ANNOUNCEMENT OF RESULTS FOR THE TWELVE MONTHS ENDED 31 DECEMBER 2013

The Board of Directors is pleased to announce the company's results for the year ended 31 December 2013. The figures have been extracted from the company's audited financial statements which have received an unqualified audit opinion.

| STATEMENT OF FINANCIAL POSITION                |                |  |                |
|------------------------------------------------|----------------|--|----------------|
|                                                | As At 31.12.13 |  | As At 31.12.12 |
| <b>CAPITAL EMPLOYED</b>                        | <b>Shs'000</b> |  | <b>Shs'000</b> |
| Share capital                                  | 24,000         |  | 24,000         |
| Retained Earnings & reserves                   | 227,212        |  | 209,233        |
| Proposed dividends                             | 9,000          |  | 9,000          |
| <b>Total equity</b>                            | <b>260,212</b> |  | <b>242,233</b> |
| <b>Non Current Liabilities</b>                 |                |  |                |
| Deferred income tax                            | 51,723         |  | 49,253         |
| Post employment benefit obligation             | 21,749         |  | 18,000         |
|                                                | <b>73,472</b>  |  | <b>67,253</b>  |
| <b>Total equity and noncurrent liabilities</b> | <b>333,684</b> |  | <b>309,486</b> |
| <b>REPRESENTED BY</b>                          |                |  |                |
| <b>Noncurrent assets</b>                       |                |  |                |
| Property, plant and equipment                  | 2,593          |  | 2,731          |
| Biological assets                              | 201,731        |  | 186,530        |
|                                                | <b>204,324</b> |  | <b>189,261</b> |
| <b>Current assets</b>                          |                |  |                |
| Receivables from parent company                | 127,565        |  | 123,507        |
| Current income tax asset                       | -              |  | 296            |
| Inventory                                      | 59             |  | 36             |
| Cash at bank and in hand                       | 7,767          |  | 6,923          |
|                                                | <b>135,391</b> |  | <b>130,762</b> |
| <b>Current Liabilities</b>                     |                |  |                |
| Trade and other payables                       | 8,221          |  | 10,537         |
| Current income Tax liability                   | (2,190)        |  |                |
|                                                | <b>6,031</b>   |  | <b>10,536</b>  |
| <b>Net current assets</b>                      | <b>129,360</b> |  | <b>120,225</b> |
|                                                | <b>333,684</b> |  | <b>309,486</b> |

| CONDENSED STATEMENT OF CASH FLOWS            |                               |  |                               |
|----------------------------------------------|-------------------------------|--|-------------------------------|
|                                              | As at 31 Dec 2013<br>shs '000 |  | As at 31 Dec 2012<br>shs '000 |
| Net cash from operating activities           | 11,515                        |  | 9,875                         |
| Net cash used in investing activities        | (1,671)                       |  | 0                             |
| Net cash used in financing activities        | (9,000)                       |  | (9,000)                       |
| Increase in cash and cash equivalents        | 844                           |  | 875                           |
| <b>Movement in cash and cash equivalents</b> |                               |  |                               |
| At start of year                             | 6,923                         |  | 6,048                         |
| Increase                                     | 844                           |  | 875                           |
| At end of December 2013.                     | <b>7,767</b>                  |  | <b>6,923</b>                  |

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## COMMENTARY

### **Performance**

In the Year ended 2013, the company produced 2,998,380 kilograms of green leaf, which in turn was manufactured into 689,265 kilograms of black tea. This was a 6% increase in black tea volumes compared 2012.

Total revenues decreased by 10% to Kshs. 104 million in 2013 from Kshs. 116 million in 2012. This was attributed to a 9% drop in average prices in the year 2013 (Kshs. 215 per kg of black tea compared to Kshs. 236 in 2012).

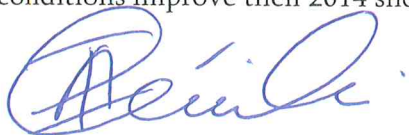
The company posted a pre-tax profit of Kshs. 41,556 million in the year ended 31<sup>st</sup> December 2013 compared to Kshs. 146,621 million in the year ended 31<sup>st</sup> December 2012. The 72% decrease in pre-tax profits compared to same period previous year is largely attributed to the lower gains on revaluation of biological assets (Kshs. 13 million compared to Kshs. 98 million in 2012) and reduced Tea auction prices. The cost of sales rose by 9% as a result of higher production and the 12% wage increase compared to prior year.

### **Dividend**

The Directors recommend a final dividend of Kshs. 7.50 per share, subject to approval by the shareholders at the Annual General Meeting scheduled for Friday 30<sup>th</sup> May 2014. The dividend shall be subject to withholding tax where applicable and will be payable to members on the register on 17<sup>th</sup> April 2014.

### **Prospects**

2014 has started on a slow pace due to lower rainfall than normal. If rainfall and market conditions improve then 2014 should be an average year.



INVOLATA ORIWO  
COMPANY SECRETARY

21 March 2014